SAN MIGUEL COUNTY
COLORADO

SAN MIGUEL COUNTY Housing Code Update

SSR Meeting #2 Summary

December 2025

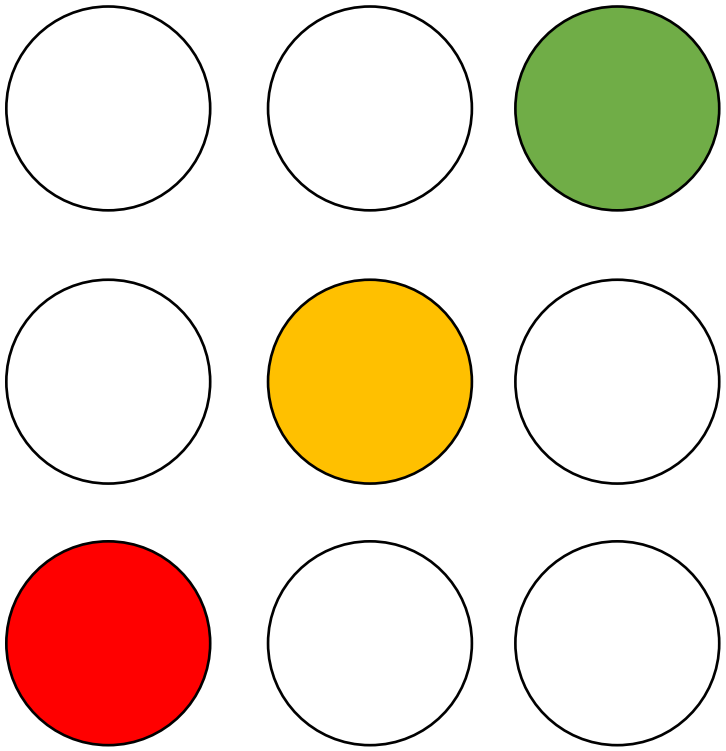
Meeting Overview

The second Strategic Stakeholder Roundtable (SSR) meeting was held for the San Miguel County Housing Code Updating project on Monday, December 8th, 2025 from 3pm – 6pm.

This project builds on experience with the community housing initiatives to develop community-supported regulatory reforms. This comprehensive code audit reviews all housing-related regulations, including the Community Housing Zone designation, to identify and address barriers to housing development. The process also satisfies the Proposition 123 "Fast Track Approval" requirement, positioning the County to access dedicated state funding for affordable housing.

The purpose of this December SSR meeting was to review and discuss the preliminary code audit primarily in four small groups. The following slides summarize main takeaways and levels of support for each draft recommendation.

Recommendations Support Key



Green light – strong consensus, broad support

Yellow light – mixed or conditional support

Red light – strong consensus, broad dissent

SAN MIGUEL COUNTY
Housing Code Update

1 Zoning and/or Density Adjustments

Reduce Minimum Lot Sizes

Targeted reductions are supported where there's infrastructure capacity. Broad, countywide reductions were *not* widely supported due to concerns about predictability for existing property owners. Participants expressed a desire to understand data and potential impacts before moving forward.

Adjust Density Allowances

Participants agreed that some current density limits are overly restrictive, but there was no support for blanket upzoning. Strong caution was expressed around rezoning large lots and low-density areas. Images/local examples would be helpful, with clearly defined definitions for 'low' vs 'medium' vs 'high' density.

Adjust Minimum Parking Requirements

Parking reductions were generally viewed as a last resort, particularly in rural and large-lot contexts where parking is already constrained. This strategy was *not* widely supported as a primary affordability tool.

1 Zoning and/or Density Adjustments

Establish Flexible Front Setback Allowances

Setback flexibility was supported when paired with site-specific massing, stepped height on slopes, and flexibility where impacts are mitigated.

Participants emphasized using setbacks to manage transitions between higher- and lower-density areas.

Redefine the Community Housing Zone

The CH Zone was not viewed as effective in its current form. Participants cited uncertainty around requirements (e.g., Ilium project) and questioned height bonuses tied to carbon neutrality. Support leaned toward rethinking or replacing the CH Zone with clearer base zoning or overlays.

Allow Multiple Dwelling Units Under Relaxed Rules

Interest existed in allowing additional units on large parcels, particularly 35-acre lots, but there was no broad consensus. Concerns focused on water rights, septic capacity, and enforcement. Shared-ownership models were favored over subdivision.

2 Standards for Additional Workforce Housing Types

Live-Work Housing

Generally supported in appropriate locations, with attention to traffic impacts and compatibility.

ADUs by Right

ADUs were supported, but some participants wanted more information on potential impacts and buildout scenarios. Support increased when paired with incentives, County-managed deed restrictions, and HOA cooperation.

Cottage Clusters and Tiny Homes

Cottage housing were general supported as a "missing middle" option. Tiny homes were supported primarily when on permanent foundations; movable units raised financing and infrastructure concerns.

Campers/RVs/Vans

There was interest in allowing more managed programs, but unregulated or dispersed camping was not widely supported due to septic, security, and sanitation concerns.

3 Regulatory Incentives for Affordable Housing Development

Density Bonus

Supported when clearly defined, predictable, and tied to deed-restricted housing.

Interest from some in allowing property owners to subdivide in exchange for deed-restrictions.

Lot Coverage, Setbacks, and Size Reductions

General support to allow lot coverage, setback, and size reductions specifically to deed-restricted affordable housing projects.

Fee Reductions/Waivers

Fee relief was widely viewed as one of the most effective incentives, particularly when encouraging unit production rather than fee-in-lieu payments.

3 Regulatory Incentives for Affordable Housing Development

Incentives for Deed-Restricted ADUs

Strong consensus that ADUs are difficult / expensive to build and house workforce, so incentives (fee reductions, tax benefits) should be offered.

Reductions in Open Space Requirements

Mixed responses, some only support where reductions advance compact, infrastructure-efficient development; not supported as a blanket policy.

Affordability Definitions, Qualifying Criteria, and Deed Restrictions

Some felt qualifying criteria works well as is, while others thought that AMI definitions should be adjusted to better reflect local conditions and prioritize local workers over remote employees.

Employee Housing Mitigation Impact Fee Structure

The current fee structure was generally criticized. Interest from some in a 15% commercial mitigation fee if supported by market data.

4 Provided Options for Streamlined Application Procedures/Processes

Implement a Streamlined Review Process for Affordable Housing

A 90-day review process for affordable housing applications (in alignment with Prop 123 requirements) was supported. Streamlining all housing development applications that might be options for the workforce, include market-rate, was also supported.

Participants expressed a desire for more information on current timelines for different application types.

Reduce Reliance on Planned Unit Developments (PUDs)

The five-step PUD process was broadly viewed as a barrier to affordable housing development, due to increased cost, time, and uncertainty.

Participants supported shifting more uses away from PUD with clear, objective standards, particularly for projects that include deed-restricted or employee housing in appropriate areas.

5 Considerations for a Transfer of Development Rights (TDR) Program

Developing a TDR Program

Participants expressed interest but emphasized complexity, political risk, and the need for clearly defined receiving areas. Seen as a potential future, long-term initiative.

6 General Code Structure

Provide Clear Use Tables and Standardized Definitions for All Zoning Districts

Participants strongly supported clearer use tables, standardized definitions, multiple height measurement options, and graphics.

Consider Consolidating Residential Zones Intended for Lower Density

Supported in concept but cautioned against changes that undermine predictability. Support to continue current practice of creating 'legacy zones' that apply to currently zoned properties, but are not intended for rezoning.